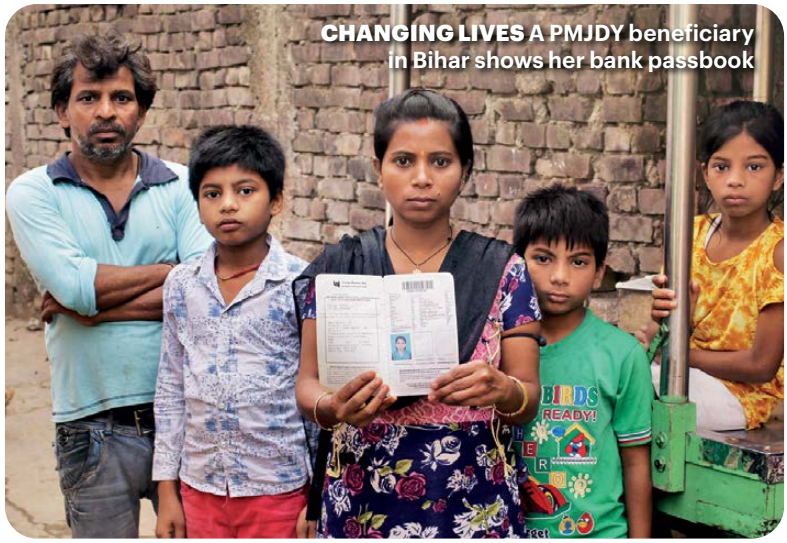


CHANGING LIVES A PMJDY beneficiary in Bihar shows her bank passbook

RANJAN RAHI

FINANCIAL FREEDOM

» **Accelerated banking access for millions, especially marginalised groups, by integrating the unbanked into the formal financial system**

» **Enabled direct transfer of subsidies like for PM-Kisan, LPG benefits, and MGNREGA payments, reducing leakages and ensuring transparency**

» **Introduced millions to digital transactions through RuPay debit cards and UPI, fostering a cashless economy**

» **Empowered the rural and urban poor to apply for loans and invest in small businesses**

» **Reduced the reliance on exploitative moneylenders, preventing debt traps and promoting financial independence**

DID YOU KNOW?

PMJDY is the biggest financial inclusion initiative in the world

531.4 MILLION
Beneficiaries now have bank accounts

₹2.31 LAKH CRORE
Total deposits in PMJDY accounts

55.6 PER CENT
Share of women-held accounts

66.6 PER CENT
Share of accounts in rural and semi-urban areas



"PMJDY is not just a welfare scheme, but a transformative movement that has enabled financial independence of the unbanked population and has instilled in them a sense of financial security"

— PANKAJ CHAUDHARY
MoS, Finance, on 10 years of PMJDY

The accounts also serve as a crucial platform for direct benefit transfers (DBTs), ensuring subsidies and government benefits reach the underprivileged efficiently. For instance, millions of workers in the unorganised sector got access to life and accident insurance through the government's Jan Suraksha schemes. Moreover, PMJDY has played a pivotal role in fostering gender equality, with women owning 55.6 per cent of accounts—an encouraging step towards financial inclusivity. Commemorating the 10th anniversary of this ambitious scheme, Union finance minister Niramala Sitharaman said that "universal and affordable access" to formal banking services is "essential for achieving financial inclusion and empowerment".

But despite its success, PMJDY faces hurdles. A 2021 study conducted by Bank of Baroda and Women's World Banking revealed that most women use their accounts only for receiving subsidies and DBTs, missing opportunities to build credit histories or explore financial tools like micro-insurance and pensions. Additionally, 20 per cent of accounts remain inactive, and over 8.2 per cent still have zero balance.

While PMJDY has been instrumental in reshaping financial access in India, sustained efforts in financial literacy and consumer protection are essential. Educating account holders on managing and growing their savings, coupled with ensuring security, will be key to unlocking the scheme's full potential. ■